

for retail investors by offering passive investment strategies that track equity or debt markets. The relaxed compliance environment makes it easier for new entrants, particularly small MF houses, to introduce their products.

GLOBAL MARKETS

The growth of passives in India is following the trajectory of what transpired in developed markets where financial inclusion and expanding role of professional managers made markets more competitive and consequently efficient.

Individual alphas are turning inconsistent and, hence, investors are increasingly focusing on a market rate of return that can be easily captured via passive products, says Hemen Bhatia, Executive Director and CEO of Asset Management at fintech company Angel One. Passive-only fund houses like Angel One Asset Management Company believe that passive investing is “investment without guesswork.” The strategy removes stock and manager selection risks and ensures

**46-48
PER CENT**

**GEN Z AND MILLENNIALS
PREFER INDEX FUNDS**



capturing of market returns in a simple, cost-effective and transparent manner, says Bhatia.

When we compare the performance of active and passive funds to see whose returns are the closest to the rise in their benchmarks, we see that in the long term, a large number of active funds fail to beat the benchmark returns given by the passive funds. In a five-year period, only 50% active funds have beaten their benchmarks; in mid-cap funds, the number is 30%, making passives a better choice for the long term.

PASSIVE POPULARITY

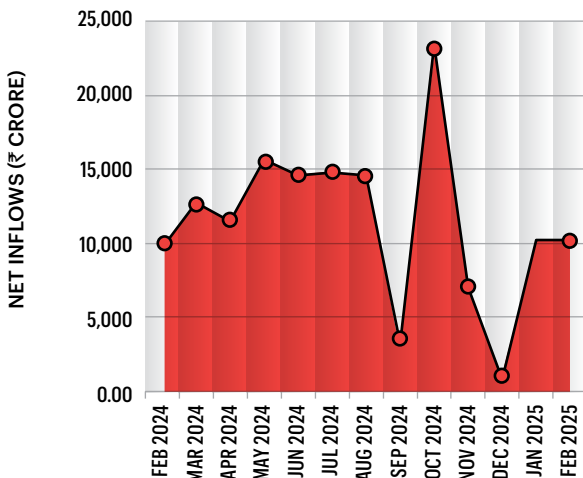
According to an investor survey on passive funds conducted by Motilal Oswal Mutual Fund in November 2024, index funds lead in popularity, with 74% of investors choosing them (43% exclusively index funds, 31% both ETFs and index funds). As per AMFI data of February, index funds have an AUM of ₹2.74 lakh crore; it was just ₹7,878 in March 2020. Also, index funds are more pop-

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PEAKS AND TROUGHS

▶ Net passive fund inflows in February 2025 reached ₹10,249 crore

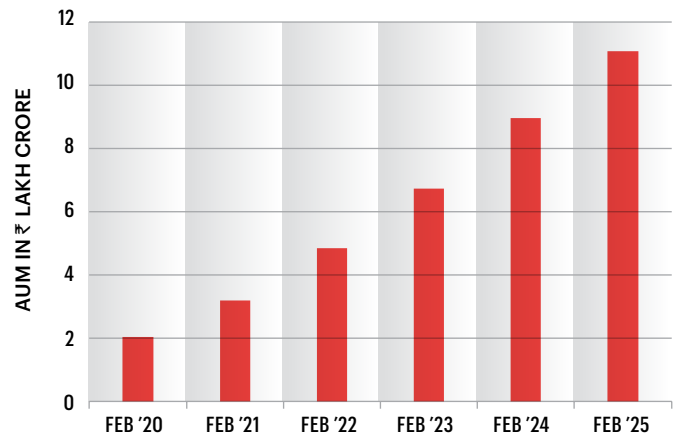
▶ They rebounded from just ₹784 crore in December 2024



SETTING RECORDS

▶ The average AUM of passive funds reached ₹11.08 lakh crore as of February 2025

▶ Passive AUM has grown more than 3X times since 2021



SOURCE AMFI